

Mastercard

MA-NYSE

Rating
OutperformPrice: Aug-25
\$599.37Target
\$630.00Total Rtn
6%

Venezuela Unpacked - A Crude, but Compelling, Tailwind

Bottom Line:

Mastercard's 2Q revealed an unexpected source of cross-border strength, namely, the rising availability of U.S. dollars in Venezuela. **While it's likely too soon to raise estimates on this thesis, it's important to recognize (1)** this tailwind is already impacting MA reported results, despite the U.S.'s nascent influence in Venezuela (but expected to grow with oil production ramping), **(2)** MA's network infrastructure is in place, and with a leading position in market, and **(3)** an asymmetric risk/reward from this opportunity (little downside if production lags, meaningful upside if U.S. admin succeeds).

Key Points

Venezuelan Tailwinds Emerging - Within 2Q, Mastercard reported 12% FXN cross-border volume growth, while cross-border assessments grew 20% FXN. That 8pt spread represents the largest delta since the post-COVID rebound in 2022. When explaining this dynamic, management cited increased dollar availability, and a restored ability to repatriate U.S. dollars out of Venezuela in the form of cross-border spending. As a reminder, the U.S. Treasury's OFAC eased Venezuelan sanctions in April, and issued a license authorizing commercial links with the Venezuelan central bank and a number of other major state-run FIs, **effectively allowing Venezuela to re-enter global markets and legally transact in U.S. dollars.**

And... Earlier Than Expected - We find the timing of this callout particularly notable given Mastercard is seeing tangible benefits from this trend while Venezuela's oil production restoration story is only just beginning. For context, after Maduro came into power in 2017, oil production in Venezuela dropped from ~2.5mm barrels per day ("bpd") to <1mm bpd, compared to the late 90s peak of >3mm bpd. According to the U.S. DOE, **Venezuela is now producing >1.25mm bpd, with the U.S. buying over half of that supply (>700k bpd in July); well above the ~125k bpd imported into the U.S. in 2025.** According to BMO's Oil & Gas Analyst Randy Ollenberger, the outlook for Venezuelan oil production is promising; with 1.5mm-2mm bpd representing an achievable estimate by 2027.

Translating This Back to the Model - While the geopolitical landscape remains fluid, it's reasonable to assume the tailwinds to Mastercard's cross-border business in Venezuela seen in 2Q could grow into 3Q and beyond. That said, given the indirect nature of these flows (higher oil receipts in VZ leading to higher Mastercard cross-border revenues), we wait for further evidence to justify raising estimates at this time.

Payments, Processors, & FinTech

Andrew Bauch, CFA, CPA

andrew.bauch@bmo.com

Analyst

(929) 594-1731

Conan Leon

conan.leon@bmo.com

VP Associate

(212) 671-8003

Andrew Estes

andrew.estes@bmo.com

Associate

(646) 438-3717

Legal Entity: BMO Capital Markets Corp.



Company Data				in \$
Dividend	\$3.48	Shares O/S (mm)	876.0	
Yield	0.6%	Market Cap (mm)	\$525,054	
Net Debt (mm)	\$(2,358)	Wkly \$Vol (000s)	18,163,310	
BMO Estimates				in \$
(FY-Dec.)	2025A	2026E	2027E	2028E
Core EPS	\$17.01	\$20.04	\$23.33	\$26.98
Net revenue	\$32,791	\$37,372	\$42,679	\$48,554
Adj. EBITDA	\$20,545	\$23,763	\$26,774	\$30,290
Consensus Estimates				
	2025A	2026E	2027E	2028E
EPS		\$19.80	\$22.94	\$26.60
Valuation				
	2025A	2026E	2027E	2028E
P/E	35.2x	29.9x	25.7x	22.2x
QTR. Core EPS				
	Q1	Q2	Q3	Q4
2025A	\$3.73	\$4.15	\$4.38	\$4.76
2026E	\$4.59a	\$5.04a	\$5.22	\$5.19
2027E	\$5.06	\$5.93	\$6.15	\$6.19
2028E	\$5.84	\$6.85	\$7.12	\$7.17

Our Thesis

We view Mastercard as a core holding within Fintech & Payments sector. Our OP rating is based on an under-appreciation for MA's network moat and the sustainability of its core payments business, and Value-Add-Services growth, amplified by its multi-rail strategy. We believe MA remains as a LDD top-line growth and DD EPS compounder long-term.

Mastercard - Block Summary Model

Income Statement	2025A	2026E	2027E	2028E
Gross Revenue	NA	NA	NA	
Net Revenue	\$32,791	\$37,372	\$42,679	\$48,554
Operating Expenses	13,894	15,336	17,634	20,177
Net Income	14,968	17,212	19,815	22,521
Core EPS	\$17.01	\$20.04	\$23.33	\$26.98
Key Ratios	2025A	2026E	2027E	2028E
Balance Sheet	2025A	2026E	2027E	2028E
Cash & Equivalents	10,566	12,248	14,101	15,431
Total Assets	54,157	59,782	66,336	73,582
Debt	18,251	22,184	22,184	22,184
Total Liabilities	46,411	53,942	57,514	61,416
Total Shareholders' Equity	7,746	5,840	8,822	12,166

Source: BMO Capital Markets, Company Reports

Scenarios

Valuation

Our target price of \$630 represents a 27x two-year forward P/E multiple to our 2027E EPS estimate of \$23.33 (+17% 2-YR CAGR).

Upside Scenario

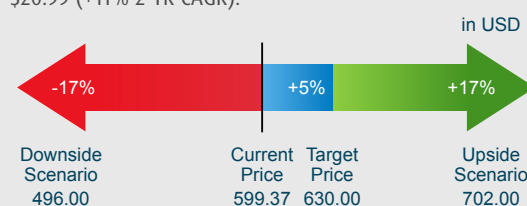
\$702.00

Our upside scenario is predicated on 29x (2x higher than our base case) our bull case 2027 adjusted EPS estimate of \$24.49 (+20% 2-YR CAGR).

Downside Scenario

\$496.00

Our downside scenario is predicated on 24x (3x lower than our base case) our bear case 2027 adjusted EPS estimate of \$20.99 (+11% 2-YR CAGR).



Key Catalysts

Key catalysts include: (1) 3Q26 EPS, (2) quarterly bank spend trends, (3) regulatory and litigation updates, and (4) new product and partnership announcements.

Company Description

Mastercard is a technology company in the global payments industry that connects consumers, financial institutions, merchants, governments, digital partners, businesses, and other organizations worldwide, enabling them to use electronic forms of payment instead of cash and checks.



MA-NYSE
Research



Glossary



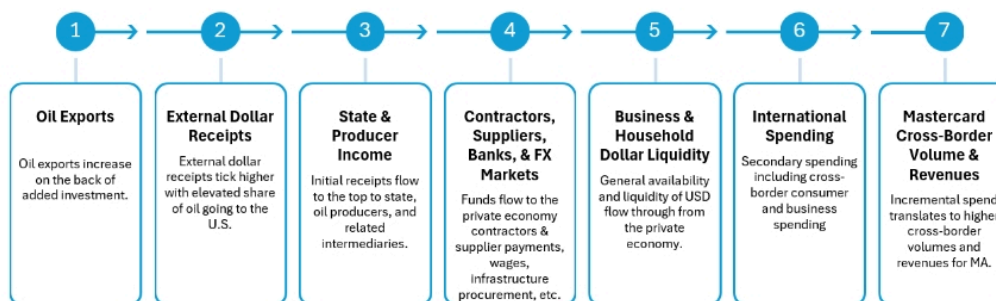
Company
Models

Understanding the Implications

Following the U.S.'s actions in Venezuela in early January, relations between the two countries has improved, with easing economic sanctions and the U.S. stepping in and buying a majority of Venezuelan oil exports. In short, the U.S. effectively has allowed Venezuela to re-enter global markets and legally transact in U.S. dollars. Further, the amount of U.S. dollars circulating in Venezuela is expected to increase, in conjunction with the level of oil purchases from Venezuela to the U.S. steadily climbing through the course of 2026.

While the link is not as simple as U.S. oil purchases lead to Venezuelan consumer deposits, and understanding that Venezuelan oil proceeds are likely not going to be distributed evenly, **we see a realistic flow of funds from the U.S. into the Venezuelan economy being (1) external dollar receipts via oil exports (e.g., U.S. investments); (2) which generates state and producer income; (3) who pay contractors and suppliers (e.g., infrastructure projects), banks, and FX markets in U.S. dollars; (4) leading to increased business and household USD liquidity; (5) which drives international spending (e.g., business spending, procurement, imports, consumer spending, etc.); and (6) ultimately translates to Mastercard cross-border volume and revenue.**

Exhibit 1 - Flow Chart: Translating Venezuela Oil Export Activity to Mastercard Cross-Border Revenues and Volumes



Source: BMO Capital Markets

Oil remains a principal channel through which hard currency enters a historically dollar-starved economy. Venezuela continues to be a country with some of the world's largest oil reserves (300B+ barrels) and the lowest depletion rate. As such, we expect increasing U.S. investments into Venezuelan oil markets to drive marginal increases in U.S. dollar-linked purchasing power, therefore driving stronger contribution from this cross-border corridor for Mastercard as affluent and institutional beneficiaries carry the highest propensity to transact internationally.

Further, the U.S. continues to push Venezuela to move to full dollarization. Recently, U.S. economic advisor to Venezuela Steve Hanke together with local Venezuelan lawmakers have drafted a bill to replace the Venezuelan bolivar with the U.S. dollar, with the aim to stabilize prices, stem inflation, and restore economic confidence in the region. If enacted, we believe the incremental contributions to MA's cross-border business would be material, as restrictions to USD availability would be effectively fully lifted.

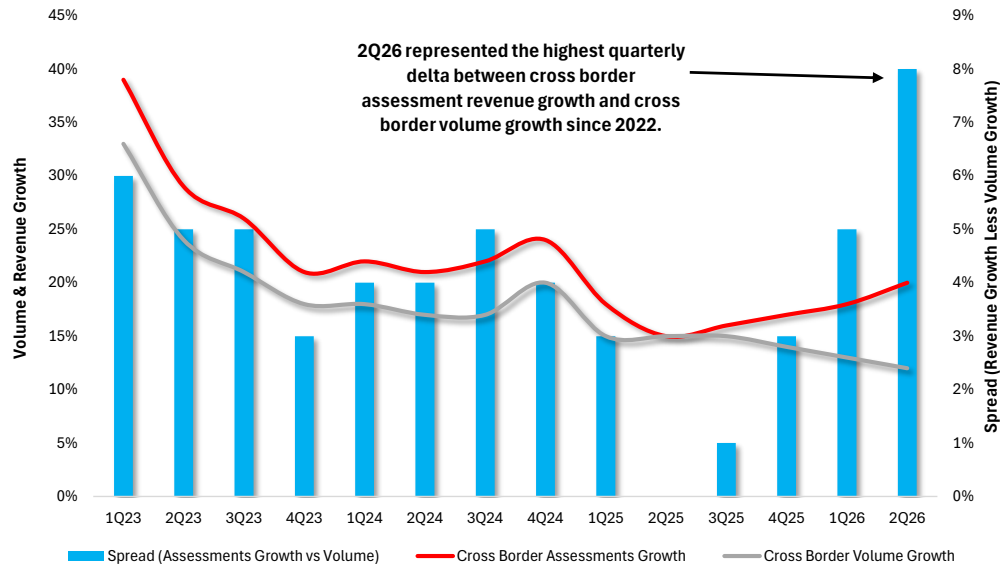
Venezuela Historical Context vs. Current State

Historical Context. Following periods of hyperinflation, foreign exchange restrictions, and a prolonged lack of currency exchangeability to USD, MA deconsolidated its Venezuelan subsidiaries in 2017. Ultimately, this impaired MA's ability to access U.S. dollars (repatriate), manage risk, process cross-border transactions, and meet USD-denominated obligations, resulting in an accounting change and a one-time \$167mm pre-tax charge. As such, MA re-casted its cards and switched transaction metrics to exclude Venezuelan financial results, a headwind to LatAm growth, which **we estimate at ~4ppt to Switched Transactions and ~2% to Card count at that time.**

Mastercard's 2Q results indicated the revival of its Venezuelan business, with management citing Venezuela as one of the principal sources of the 2Q cross-border beat. Specifically, management indicated *"The other thing which has been supportive of cross-border, during the quarter has been Venezuela...we deconsolidated our Venezuela operations in 2018...due to the fact that it was a very challenged repatriation environment...over the course of the first quarter and particularly going into the second quarter, there has become an increased availability of US dollars in Venezuela... consumers have greater access to US dollars, and they're utilizing those US dollars for their cross-border spending mostly in card-not-present ex-travel."*

As we highlight in the exhibit below, **2Q saw the highest quarterly delta between cross-border assessment revenue growth and cross-border volume growth of ~8ppt since the post-COVID recovery era in 2022**, helped by Venezuela cross-border eCommerce spending per management. While it's inherently difficult to parse out the exact contributions from Venezuela, historically, the average spread between assessments growth and volume growth has been roughly 3pts, **which would imply ~5pts in 2Q attributable to discrete in-quarter sources, and to some extent Venezuela.**

Exhibit 2 - MA: Cross-Border Assessment vs. Volume Growth (FXN)



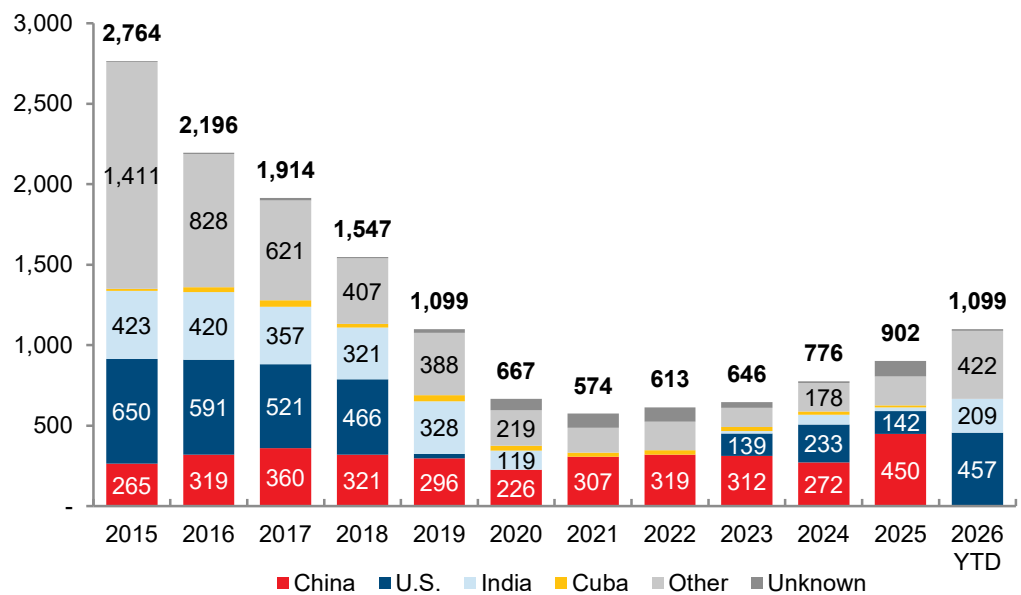
Source: Company Reports and BMO Capital Markets

Bullish Oil Outlook Raises Prospect for Additional USD Circulating in Venezuela

Venezuela's oil production restoration story continues to unfold at an accelerated rate, with the U.S. purchasing a larger portion of total Venezuelan crude exports at ~40% of the total in 2026 YTD versus 25-30% prior to 2028 U.S. sanctions (2013-2018). Overall, Venezuela crude exports are up 22% in 2026 YTD to ~1.1mm bpd versus ~900k bpd in 2025, and well below ~2.8mm bpd in 2015. **Encouragingly, July 2026 represented the largest single month of U.S. oil purchases from Venezuela seen in a decade, up +25% m/m to ~730K bpd (Exhibits 3 and 4).**

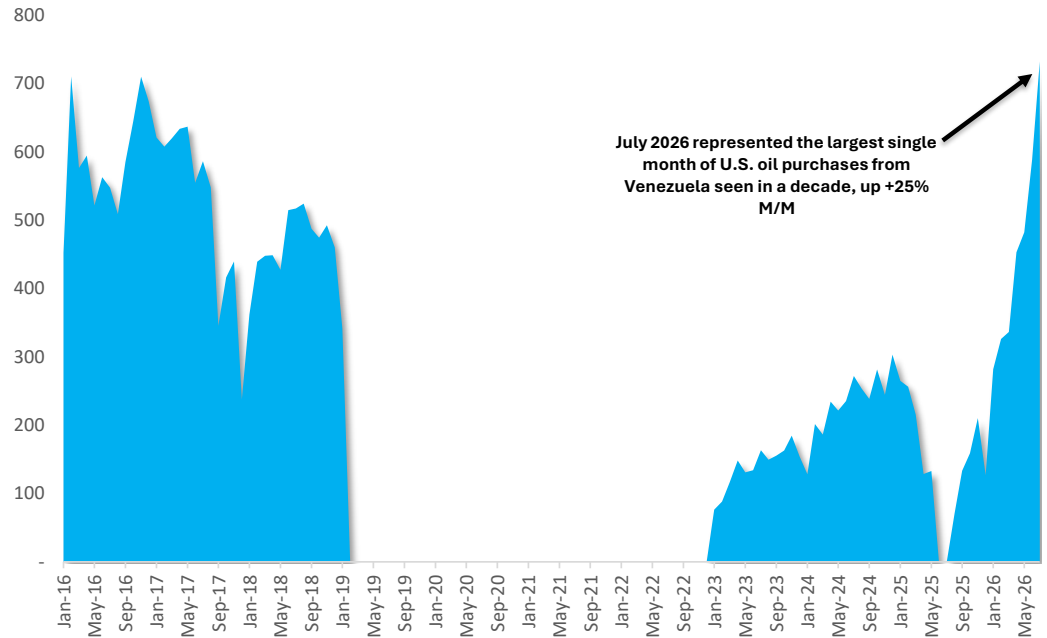
For context, after Maduro came into power in 2017, oil production in Venezuela dropped from ~2.5mm barrels per day ("bpd") to <1mm bpd, compared to the late-90s peak of >3mm bpd. **Looking at more recent Venezuela data, August 2026 data on average showed Venezuela is producing ~1.23mm bpd, up ~40% versus December 2025 levels of 900K bpd when the U.S. captured Maduro.** According to BMO's Oil & Gas Analyst Randy Ollenberger, the outlook for Venezuelan oil production is promising; with 1.5mm-2mm bpd representing an achievable estimate by 2027. **Overall, we view the Venezuela opportunity as nascent with the potential to reach pre-U.S. sanction levels of ~3mm+ bpd in the long term (Exhibit 5).**

Exhibit 3 - Venezuelan Crude Exports (mb/d)



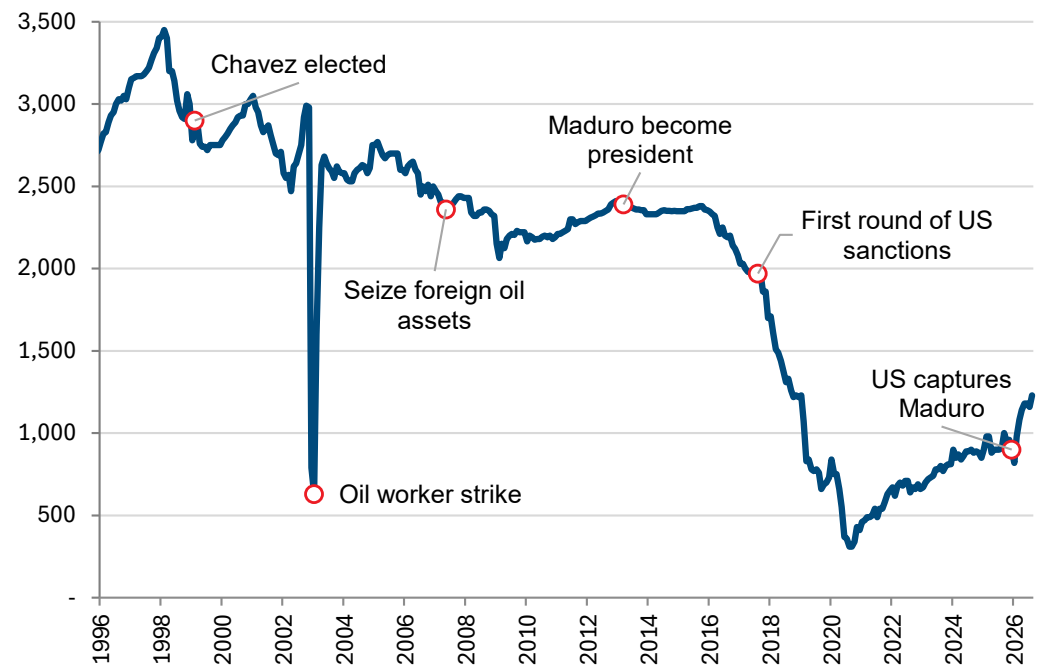
Source: Kpler, BMO Capital Markets

Exhibit 4 - Venezuelan Crude Exports to the U.S. (mb/d)



Source: Kpler, BMO Capital Markets

Exhibit 5 - Venezuela Oil Production (mb/d)



Excludes NGLs

Source: Bloomberg, OPEC, BMO Capital Markets

Stablecoins as a Conduit

Per management, a significant proportion of the tailwind in 2Q from Venezuela came in the form of stablecoin usage for cross-border spending. In our view, we believe stablecoins could shorten the path between oil receipts and card spending, accelerating the rate of potential contributions to MA's cross-border business. **While some may argue that stablecoins represent an inherent risk to the networks (V/MA) on the premise that a stablecoin transaction completely bypasses network rails, we believe MA has positioned itself to benefit from increased stablecoin adoption given key investments through acquisitions, partnerships, and infrastructure and ecosystem initiatives.** Overall, we see Mastercard's strategy and initiatives embracing, rather than preventing, stablecoin adoption, with the key objective being to ensure digital money movement, and balances become another funding source for Mastercard credentials.

In this context, we believe it is important to understand stablecoin usage by consumers and businesses. While stablecoins provide value against hyperinflation and support countries where conventional dollar banking and correspondent access remain constrained (dollar-linked tokens and store of value), spending typically requires conversion into a spendable balance. **Should that balance conversion connect to a Mastercard credential, MA is able to monetize the transaction through several avenues including: (1) cross-border assessments, (2) switching and transaction processing, (3) tokenization, (4) authentication and fraud prevention, (5) wallet or issuer services, and (6) crypto-linked program economics.** In some instances where the consumer or business can transact directly in USDT (e.g., P2P, supplier payments, or QR merchant acceptance), this could potentially bypass Mastercard if done solely on-chain. **That said, we believe transacting in stablecoins, crypto, or other digital assets has not reached the point of fluidity, still requiring network (V/MA) services built around on- and off-ramp mechanisms or settlement.**

For Venezuela, we believe stablecoin adoption could potentially be a main differentiator in facilitating international spending and fortifying MA's moat and market share dominance as the country continues to battle currency volatility and hyperinflation. Stablecoin adoption in Venezuela and other Latin American countries continues to rise, with Tether's CEO Paolo Ardoio recently citing (Aug. 23) developing countries dealing with monetary instability increasingly relying on USDT for domestic commerce, international trade, and dollar denominated savings, particularly in four countries including Venezuela, Argentina, Bolivia, and Turkey. In total, Latin America processed ~\$1.5tn in crypto transactions from 2022 to 2025. Additionally, per Chainalysis' The 2025 Geography of Crypto Report, Venezuela ranks 9th in the world for crypto adoption when adjusted by population size (13th overall unadjusted). **We believe these data points align with Mastercard's commentary and continuing trend of adoption amid Venezuela's bolivar losing more than 70% of its value since October 2025.**

Below, we highlight notable Mastercard stablecoin and digital asset initiatives that we believe support our view that MA is well-positioned to capture money movement economics as stablecoin adoption increases:

- **Major Acquisitions:**

- **BVNK Holdings Ltd (closed in August 2026 for \$1.8B):** BVNK is a London-based stablecoin infrastructure firm that enables businesses and platforms to hold, move, and convert value across fiat and digital currencies. The platform operates in over 130 markets, with 25+ regulatory licenses, bringing critical on-chain technology and treasury infrastructure to Mastercard.
- **CipherTrace, Inc. (closed October 2021):** CipherTrace adds security, compliance, and risk-monitoring capabilities across crypto and digital asset networks.

- **Key Partnerships and Pilots:**

- **Borderless.xyz:** Launched a pilot to explore how the Mastercard Crypto Credential framework can support trusted, compliant cross-border stablecoin payments in August 2026.
- **Ripple:** In November 2025, Mastercard partnered with Ripple, WebBank, and Gemini to pilot Ripple's fully regulated RLUSD stablecoin (issued under a New York DFS charter) for card transaction settlements, starting with the Gemini Credit Card.
- **Coinbase and Coinflow:** Mastercard launched "Agent Pay for Machines" in June 2026 to enable high-velocity, low-ticket payments for autonomous AI agents, partnering with Coinbase and Coinflow to combine traditional card networks with programmable stablecoins and open standards like x402.
- **Nuvei and Paxos:** Starting in early 2025, Mastercard worked with fintech acquirer Nuvei to enable stablecoin settlement options for its merchant network, with Paxos contributing back-end stablecoin issuance, custody, and settlement infrastructure.
- **Kinexys by JPMorgan:** In 4Q24, Mastercard partnered with Kinexys (JPMorgan's blockchain unit) to integrate Mastercard's Multi-Token Network with Kinexys's digital payments platform, targeting faster and more transparent cross-border B2B settlement.
- **MetaMask (Consensys) and Binance:** Mastercard expanded its co-brand card footprints, launching MetaMask cards in the U.S. and continuing stablecoin card programs with Binance in Brazil.
- **Kraken, OKX, and Bleap:** Cryptocurrency platforms that joined Mastercard as issuing partners to help bridge everyday retail spending to the digital asset economy.
- **Yellow Card:** Yellow Card is a licensed stablecoin infrastructure provider that partnered with Mastercard to build and accelerate stablecoin and fiat gateways across global jurisdictions (EEMEA).

- **Infrastructure and Ecosystem Initiatives:**

- **Regulated On-Chain Settlement:** In June 2026, Mastercard expanded its settlement capabilities to support on-chain card settlement using regulated stablecoins, including Circle's USDC, Paxos-issued stablecoins (such as PYUSD, USDG, and USDP), and Ripple's RLUSD. This allows issuers and acquirers to settle transactions 24/7, including weekends and holidays, over multiple supported networks including Ethereum, Solana, Polygon, Base, Arbitrum, XRPL, Canton, and Tempo.
- **Mastercard Crypto Credential:** This standards-based framework is designed to generate compliance and verification "assurance signals" across blockchain networks. The

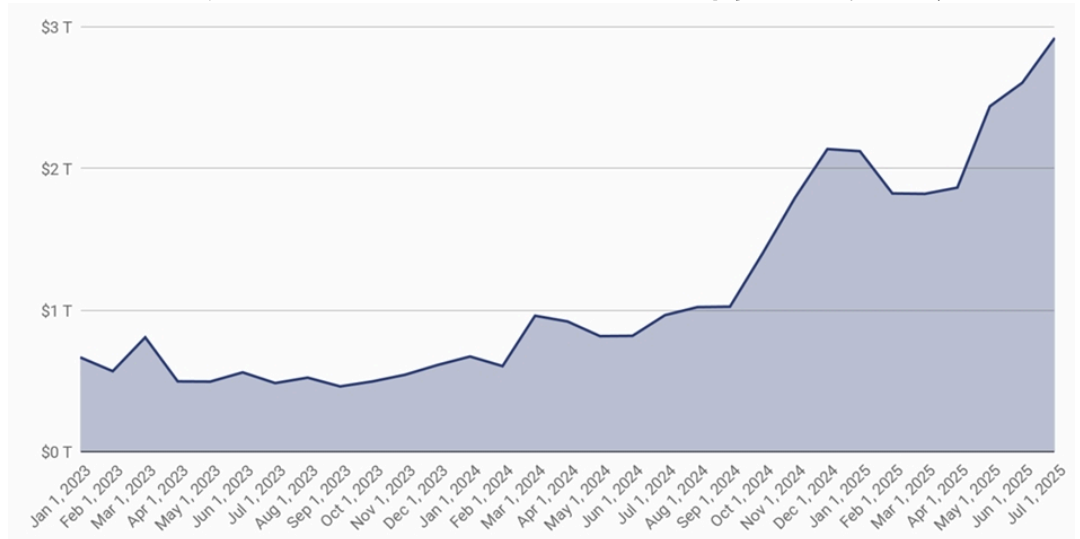
framework helps ecosystem participants verify counterparties' identities and ensure they meet regulatory and security standards, without changing how underlying funds are transferred.

- **Mastercard Move:** In June 2025, Mastercard embedded stablecoins into its Move disbursement and remittance network. This allows commercial customers to pre-fund transactions in stablecoins and execute cross-border payouts, which can then be received in local fiat currency or supported stablecoins.
 - **Multi-Token Network (MTN):** MTN is a foundational set of capabilities designed to make transactions within digital asset and blockchain ecosystems more secure, scalable, and interoperable. It operates as a trust framework connecting tokenized assets, tokenized deposits, and blockchains to traditional financial systems.
 - **New York BitLicense:** In May 2026, Mastercard obtained a BitLicense from the New York State Department of Financial Services (NYDFS) for Mastercard Transaction Services U.S., allowing the company to legally expand its operations into payment stablecoins and tokenized deposits.
 - **Mastercard One Credential:** This solution lets consumers use a single, digitally connected credential inside their banking app to choose between debit, credit, prepaid, installments, or stablecoin at checkout.
- **Reported Stablecoin Volumes and Performance Metrics:**
 - **Crypto Co-Brand Cards:** Mastercard supports approximately 130 active crypto co-brand card programs globally, enabling cardholders to spend stablecoins and digital assets at over 150mm acceptance locations globally.
 - **On-Ramp Transaction Volume:** Card transactions used to buy stablecoins and other crypto assets rose over 25% YTD (as of Q3 2025), driven largely by card-not-present cross-border spend.
 - **BVNK Annualized Volume:** As of the time of closing, BVNK processes ~\$30B in annualized stablecoin transaction volume.

Exhibit 6 - The 2025 Global Crypto Adoption Index Top 20, Adjusted by Population

Country	Overall Index Ranking	Retail Centralized Service Value Received Ranking	Centralized Service Value Received Ranking	DeFi Value Received Ranking	Institutional Centralized Service Value Received Ranking
Ukraine	1	1	1	4	1
Moldova	2	2	2	14	2
Georgia	3	4	5	5	8
Jordan	4	10	16	1	24
Hong Kong, SAR, China	5	17	9	6	9
Vietnam	6	7	6	10	7
Latvia	7	16	12	7	10
Montenegro	8	8	22	3	33
Venezuela, RB	9	3	3	52	4
Slovenia	10	25	7	16	5
Estonia	11	29	13	11	6
Yemen, Rep.	12	12	14	29	14
Cambodia	13	11	10	46	11
Armenia	14	6	8	56	12
Singapore	15	42	20	13	16
Finland	16	51	29	8	23
Belarus	17	9	17	39	27
Korea, Rep.	18	14	11	48	19
Kyrgyz Republic	19	20	15	47	15
Portugal	20	47	33	9	29

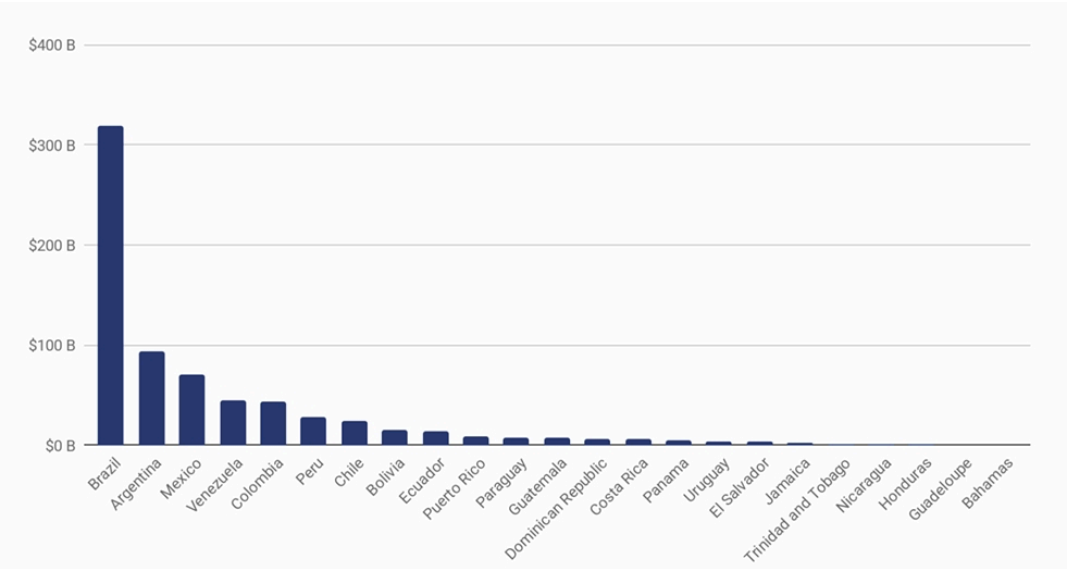
Source: The 2025 Geography of Crypto Report - Chainalysis

Exhibit 7 - Total Adjusted Stablecoin Transaction Volume - Monthly (Jan 2023 - Jul 2025)


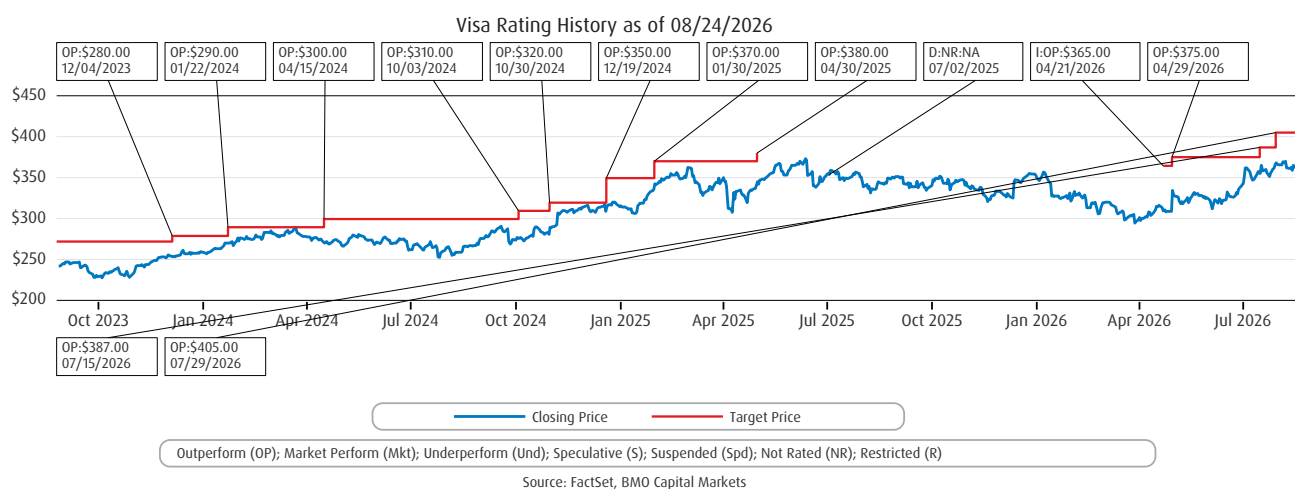
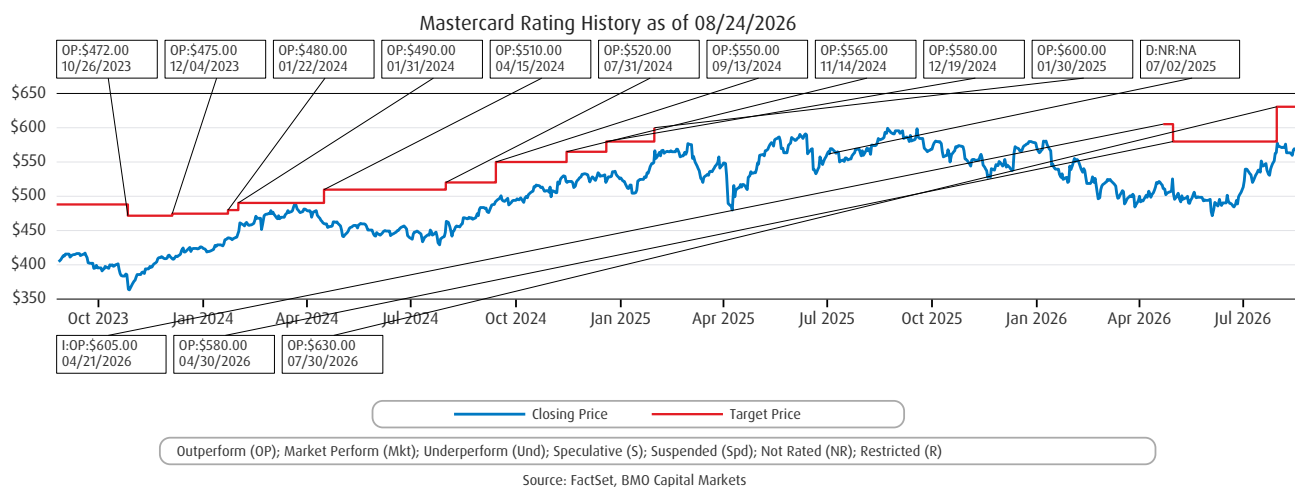
Adjusted transaction volume: For account-based blockchains (non-UTXO) such as Ethereum, Base, and Solana, adjusted transaction volume calculates the net balance change per transaction, asset, and cluster. It then aggregates the net received amounts for clusters within each transaction. For UTXO-based blockchains like Bitcoin and Litecoin, it filters out transfers that are not associated with a cluster in the data but appear to be change outputs.

Source: Chainalysis

Exhibit 8 - Total Crypto Value Received by LatAm Countries (Jul 2024 - Jun 2025)



Source: Chainalysis



IMPORTANT DISCLOSURES

Analyst's Certification

I, Andrew Bauch, hereby certify that the views expressed in this report accurately reflect my personal views about the subject securities or issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Analysts who prepared this report are compensated based upon (among other factors) the overall profitability of BMO Capital Markets and their affiliates, which includes the overall profitability of investment banking services. Compensation for research is based on effectiveness in generating new ideas and in communication of ideas to clients, performance of recommendations, accuracy of earnings estimates, and service to clients.

Analysts employed by BMO Nesbitt Burns Inc. and/or BMO Capital Markets Limited are not registered as research analysts with FINRA. These analysts may not be associated persons of BMO Capital Markets Corp. and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Company Specific Disclosures

Disclosure 5: BMO Capital Markets or an affiliate received compensation for products or services other than investment banking services within the past 12 months from Mastercard and Visa.

Disclosure 6C: Mastercard and Visa are clients (or were clients) of BMO Nesbitt Burns Inc., BMO Capital Markets Corp., BMO Capital Markets Limited or an affiliate within the past 12 months: C) Non-Securities Related Services.

Disclosure 9A - BMO Capital Markets makes a market in the securities of Mastercard and Visa in Canada.

Methodology and Risks to Target Price/Valuation for Mastercard (MA-NYSE)

Methodology: We utilize a P/E multiple based valuation approach on our FY27 adj. EPS estimate based on historical multiples and key peer comparison relative to growth.

Risks: Key downside risks include: (1) slowing payments volume growth shifting to alternate rails; (2) larger-than-expected COF migration impact and potential Credit portfolio migrations; (3) take rate compression; (4) slower growth of VAS revenues; (5) regulatory overhaul; (6) macro environment slowdown pressuring consumer spend; and (7) heightened competition from key peers and new entrants.

Methodology and Risks to Target Price/Valuation for Visa (V-NYSE)

Methodology: We utilize a P/E multiple based valuation approach on our FY27 adj. EPS estimate based on historical multiples and key peer comparison relative to growth.

Risks: Key downside risks include: (1) slowing payments volume growth shifting to alternate rails; (2) take rate compression; (3) slower growth of VAS revenues; (4) regulatory overhaul; (5) macro environment slowdown pressuring consumer spend; and (6) heightened competition from key peers and new entrants.

Distribution of Ratings (August 24, 2026)

Rating category	BMO rating	BMOCM US Universe*	BMOCM US IB Clients**	BMOCM US IB Clients***	BMOCM Universe****	BMOCM IB Clients*****	StarMine Universe~
Buy	Outperform	58.7 %	21.8 %	60.8 %	61.5 %	69.6 %	57.7%
Hold	Market Perform	39.9 %	20.6 %	39.2 %	37.7 %	30.4 %	37.5%
Sell	Underperform	1.4 %	0.0 %	0.0 %	0.8 %	0.0 %	4.8%

* Reflects rating distribution of all companies covered by BMO Capital Markets Corp. equity research analysts.

** Reflects rating distribution of all companies from which BMO Capital Markets Corp. has received compensation for Investment Banking services as percentage within ratings category.

*** Reflects rating distribution of all companies from which BMO Capital Markets Corp. has received compensation for Investment Banking services as percentage of Investment Banking clients.

**** Reflects rating distribution of all companies covered by BMO Capital Markets equity research analysts.

***** Reflects rating distribution of all companies from which BMO Capital Markets has received compensation for Investment Banking services as percentage of Investment Banking clients.

~ As of April 1, 2019.

Ratings Key (as of October 2016)

We use the following ratings system definitions:

OP = Outperform - Forecast to outperform the analyst's coverage universe on a total return basis;

Mkt = Market Perform - Forecast to perform roughly in line with the analyst's coverage universe on a total return basis;

Und = Underperform - Forecast to underperform the analyst's coverage universe on a total return basis;

(S) = Speculative investment;

Spd = Suspended - Coverage and rating suspended until coverage is reinstated;

NR = No Rated - No rating at this time; and

R = Restricted - Dissemination of research is currently restricted.

The total return potential, target price and the associated time horizon is 12 months unless otherwise stated in each report. BMO Capital Markets' seven Top 15 lists guide investors to our best ideas according to different objectives (CDN Large Cap, CDN Small Cap, US Large Cap, US Small Cap, Income, CDN Quant, and US Quant have replaced the Top Pick rating).

Prior BMO Capital Markets Rating System

(April 2013 - October 2016)

http://researchglobal.bmocapitalmarkets.com/documents/2013/rating_key_2013_to_2016.pdf

(January 2010 - April 2013)

http://researchglobal.bmocapitalmarkets.com/documents/2013/prior_rating_system.pdf

Other Important Disclosures

For Important Disclosures on the stocks discussed in this report, please go to https://research.bmo.com/public/disclosure_statements or write to Editorial Department, BMO Capital Markets, 151 West 42nd St, 33rd Floor, New York, NY 10036 or Editorial Department, BMO Capital Markets, 1 First Canadian Place, Toronto, Ontario, M5X 1H3.

Dissemination of Research

Dissemination of fundamental BMO Capital Markets Equity Research is available via our website <https://research.bmo.com>. Institutional clients may also simultaneously receive our fundamental research via email and/or via services such as Refinitiv, Bloomberg, FactSet, Visible Alpha, and S&P Capital IQ.

BMO Capital Markets issues a variety of research products in addition to fundamental research. Institutional clients may request notification when additional research content is made available on our website. BMO Capital Markets may use proprietary models in the preparation of reports. Material information about such models may be obtained by contacting the research analyst directly. There is no planned frequency of model updates.

The analyst(s) named in this report may discuss trading strategies that reference a catalyst or event that may have a near or long term impact on the market price of the equity securities discussed. In some cases, the impact may directionally counter the analyst's published 12 month target price and rating. Any such trading or alternative strategies can be based on differing time horizons, methodologies, or otherwise and are distinct from and do not affect the analysts' fundamental equity rating in the report.

Research coverage of licensed cannabis producers and other cannabis-related companies is made available only to eligible approved North American, Australian, and EU-based BMO Nesbitt Burns Inc., BMO Capital Markets Limited, Bank of Montreal Europe Plc and BMO Capital Markets Corp. clients via email, our website and select third party platforms.

~ Research distribution and approval times are provided on the cover of each report. Times are approximations as system and distribution processes are not exact and can vary based on the sender and recipients' services. Unless otherwise noted, times are Eastern Standard and when two times are provided, the approval time precedes the distribution time.

For recommendations disseminated during the preceding 12-month period, please visit: https://research.bmo.com/public/disclosure_statements.

General Disclaimer

"BMO Capital Markets" is a trade name used by BMO Financial Group for the wholesale banking businesses of Bank of Montreal, BMO Bank N.A. (member FDIC), Bank of Montreal Europe p.l.c, and Bank of Montreal (China) Co. Ltd, the institutional broker dealer business of BMO Capital Markets Corp. (Member [FINRA](#) and [SIPC](#)) and the agency broker dealer business of Clearpool Execution Services, LLC (Member [FINRA](#) and [SIPC](#)) in the U.S., and the institutional broker dealer businesses of BMO Nesbitt Burns Inc. (Member Canadian Investment Regulatory Organization and Member Canadian Investor Protection Fund) in Canada and Asia, Bank of Montreal Europe p.l.c. (authorised and regulated by the Central Bank of Ireland) in Europe and BMO Capital Markets Limited (authorised and regulated by the Financial Conduct Authority) in the UK and Australia. Bank of Montreal or its subsidiaries ("BMO Financial Group") has lending arrangements with, or provide other remunerated services to, many issuers covered by BMO Capital Markets. The opinions, estimates and projections contained in this report are those of BMO Capital Markets as of the date of this report and are subject to change without notice. BMO Capital Markets endeavours to ensure that the contents have been compiled or derived from sources that we believe are reliable and contain information and opinions that are accurate and complete. However, BMO Capital Markets makes no representation or warranty, express or implied, in respect thereof, takes no responsibility for any errors and omissions contained herein and accepts no liability whatsoever for any loss arising from any use of, or reliance on, this report or its contents. Information may be available to BMO Capital Markets or its affiliates that is not reflected in this report. The information in this report is not intended to be used as the primary basis of investment decisions, and because of individual client objectives, should not be construed as advice designed to meet the particular investment needs of any investor. The information in this report is based on general considerations and do not purport to meet the objectives or needs of specific recipients. Nothing herein constitutes any investment, legal, tax or other advice nor is it to be relied on in any investment or decision. If you are in doubt about any of the contents of this document, the reader should obtain independent professional advice. This material is for information purposes only and is not an offer to sell or the solicitation of an offer to buy any security. In furnishing this report, BMO Capital Markets intends to take advantage of the exemption from the principal and agency trading restrictions in Section 206(3) of the Investment Advisers Act of 1940 and Rule 206(3)-1 thereunder. Accordingly, recipients of this report are advised that BMO Capital Markets or its affiliates may act as principal for its own account or agent for another person in connection with the purchase or sale of any security mentioned in or the subject of this report. BMO Capital Markets or its affiliates, officers, directors or employees have a long or short position in many of the securities discussed herein, related securities or in options, futures or other derivative instruments based thereon. The reader should assume that BMO Capital Markets or its affiliates may have a conflict of interest and should not rely solely on this report in evaluating whether or not to buy or sell securities of issuers discussed herein.

Additional Matters

This report is directed only at entities or persons in jurisdictions or countries where access to and use of the information is not contrary to local laws or regulations. Its contents have not been reviewed by any regulatory authority. BMO Capital Markets does not represent that this report may be lawfully distributed or that any financial products may be lawfully offered or dealt with, in compliance with regulatory requirements in other jurisdictions, or pursuant to an exemption available thereunder.

To Australian residents: BMO Capital Markets Limited and Bank of Montreal are exempt from the requirement to hold an Australian financial services licence under the Corporations Act in respect of financial services they provide to wholesale investors (as defined in the Corporations Act). BMO Capital Markets Limited is regulated by the UK Financial Conduct Authority under UK laws, and Bank of Montreal in Hong Kong is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, which differ from Australia laws. This document is only intended for wholesale clients (as defined in the Corporations Act 2001), Eligible Counterparties or Professional Clients (as defined in Annex II to MiFID II) and Professional Investors (as defined in the Securities and Futures Ordinance and the Securities and Futures (Professional Investor) Rules under the Securities and Futures Ordinance of Hong Kong).

To Canadian Residents: BMO Nesbitt Burns Inc. furnishes this report to Canadian residents and accepts responsibility for the contents herein subject to the terms set out above. Any Canadian person wishing to effect transactions in any of the securities included in this report should do so through BMO Nesbitt Burns Inc.

The following applies if this research was prepared in whole or in part by Helen Amos, Frederic Bolton, George Heppel, Alexander Pearce or Raj Ray:

This research is not prepared subject to Canadian disclosure requirements. This research is prepared by BMO Capital Markets Limited and distributed by BMO Capital Markets Limited or Bank of Montreal Europe Plc and is subject to the regulations of the Financial Conduct Authority (FCA) in the United Kingdom and the Central Bank of Ireland (CBI) in Ireland. FCA and CBI regulations require that a firm providing research disclose its ownership interest in the issuer that is the subject of the research if it and its affiliates own 5% or more of the equity of the issuer. Canadian regulations require that a firm providing research disclose its ownership interest in the issuer that is the subject of the research if it and its affiliates own 1% or more of the equity of the issuer that is the subject of the research. Therefore each of BMO Capital Markets Limited and Bank of Montreal Europe Plc will disclose its and its affiliates' ownership interest in the subject issuer only if such ownership exceeds 5% of the equity of the issuer.

To E.U. Residents: In an E.U. Member State this document is issued and distributed by Bank of Montreal Europe plc which is authorised and regulated in Ireland and operates in the E.U. on a passported basis. This document is only intended for Eligible Counterparties or Professional Clients, as defined in Annex II to "Markets in Financial Instruments Directive" 2014/65/EU ("MiFID II").

To U.S. Residents: BMO Capital Markets Corp. furnishes this report to U.S. residents and accepts responsibility for the contents herein, except to the extent that it refers to securities of Bank of Montreal. Any U.S. person wishing to effect transactions in any security discussed herein should do so through BMO Capital Markets Corp.

To U.K. Residents: In the UK this document is published by BMO Capital Markets Limited which is authorised and regulated by the Financial Conduct Authority. The contents hereof are intended solely for the use of, and may only be issued or passed on to, (I) persons who have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order") or (II) high net worth entities falling within Article 49(2)(a) to (d) of the Order (all such persons together referred to as "relevant persons"). The contents hereof are not intended for the use of and may not be issued or passed on to retail clients.

To Hong Kong Residents: In Hong Kong, this report is published and distributed by Bank of Montreal. Bank of Montreal (incorporated in Canada with limited liability) is an authorized institution under the Banking Ordinance and a registered institution with the Securities and Futures Commission (CE No. AAK809) to carry on Type 1 (dealing in securities) and Type 4 (advising in securities) regulated activities under the Securities and Futures Ordinance (Cap 571 of the Laws of Hong Kong). This report has not been reviewed or approved by any regulatory authority in Hong Kong. Accordingly this report must not be issued, circulated or distributed in Hong Kong other than (a) to professional investors as defined in the Securities and Futures Ordinance and the Securities and Futures (Professional Investor) Rules under the Securities and Futures Ordinance of Hong Kong, or (b) in circumstances which do not result in or constitute an offer to the public in Hong Kong.

To Korean Residents: This report has been provided to you without charge for your convenience only. All information contained in this report is factual information and does not reflect any opinion or judgement of BMO Capital Markets. The information contained in this report should not be construed as offer, marketing, solicitation or investment advice with respect to financial investment products in this report.

To Japan Residents: This report has not been reviewed by any regulatory authority in Japan. This report is provided for information purposes only and it should not be construed as an offer to sell, a solicitation to buy, or a recommendation for any security, or as an offer to provide investment management or advisory or other services in Japan. Securities may not be offered or sold in Japan by means of this report or any other document other than to Qualified Financial Institutions within the meaning of item (i) of Article 17-3 of the Government Ordinance to enforce the Financial Instruments and Exchange Act (Kinyu Shohin Torihiki Ho Sekou Rei). Unless specified otherwise, the securities that may be offered to you are not and will not be registered in Japan pursuant to the Financial Instruments and Exchange Acts.

To Taiwanese Residents: This report is not intended to constitute investment advice nor a public offer for any investment products to investors in Taiwan. This report should only be accessed by investors in Taiwan that are qualified to invest in investment products pursuant to relevant Taiwanese laws and regulations, and subject to sales restrictions as set forth in the relevant Taiwanese laws and regulations. BMO Capital Markets has not and will not secure the required licenses in Taiwan for the offer of securities and investment services. Any offer of securities has not been and will not be registered or filed with or approved by the Financial Commission of Taiwan and/or other regulatory authority pursuant to relevant securities laws and regulations of Taiwan, and may not be issued, offered or sold within Taiwan through a public offering or in circumstances which constitute an offer that requires a registration, filing or approval of the Financial Supervisory Commission of Taiwan and/or other regulatory authority in Taiwan under relevant securities laws and regulations of Taiwan. No person or entity in Taiwan has been authorized to offer or sell the securities in Taiwan.

To Singapore Residents: This report is intended for general circulation and does not and is not intended to constitute the provision of financial advisory services, whether directly or indirectly, to persons in Singapore. You should seek advice from a financial adviser regarding the suitability of the investment products, taking into account your specific investment objectives, financial situation or particular needs before you make a commitment to purchase the investment product. This report has not been registered as a prospectus with the Monetary Authority of Singapore. Accordingly, it should not be circulated or distributed, nor may the securities described herein be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons in Singapore other than (a) to an institutional investor or a relevant person as defined in and pursuant to and in accordance with the conditions of the relevant provisions of the Securities and Futures Act of Singapore or (b) otherwise pursuant to and in accordance with the conditions of, any other applicable provision of the SFA.

To Israeli residents: BMO Capital Markets is not licensed under the Israeli Law for the Regulation of Investment Advice, Investment Marketing and Portfolio Management of 1995 (the "Advice Law") nor does it carry insurance as required thereunder. This document is to be distributed solely to persons that are qualified clients (as defined under the Advice Law) and qualified investors under the Israeli Securities Law of 1968. This document represents the analysis of the analyst but there is no assurance that any assumption or estimation will materialize.

These documents are provided to you on the express understanding that they must be held in complete confidence and not republished, retransmitted, distributed, disclosed, or otherwise made available, in whole or in part, directly or indirectly, in hard or soft copy, through any means, to any person, except with the prior written consent of BMO Capital Markets. Furthermore, you shall not use (nor enable or procure any third party to use) these materials, in whole or in part, for the development of any software program, model, algorithm, or generative artificial intelligence (AI) tool or any other derivative content, including, but not limited to, training or using these materials in connection with the development or operation of a machine learning or artificial intelligence (AI) system (including any use of these documents for training, fine tuning, or grounding the machine learning or AI system or as part of retrieval-augmented generation).

[Click here](#) for data vendor disclosures when referenced within a BMO Capital Markets research document.

For assistance with accessible formats of online content, please contact research@bmo.com.

The recommendation contained in this report was produced at August 25, 2026, 20:49 ET. and disseminated at August 25, 2026, 20:49 ET.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

BMO Financial Group (NYSE, TSX: BMO) is an integrated financial services provider offering a range of retail banking, wealth management, and investment and corporate banking products. BMO serves Canadian retail clients through BMO Bank of Montreal and BMO Nesbitt Burns. In the United States, personal and commercial banking clients are served by BMO Bank N.A., (Member FDIC). Investment and corporate banking services are provided in Canada and the US through BMO Capital Markets.

BMO Capital Markets is a trade name used by BMO Financial Group for the wholesale banking businesses of Bank of Montreal, BMO Bank N.A. (member FDIC), Bank of Montreal Europe p.l.c. and Bank of Montreal (China) Co. Ltd, the institutional broker dealer business of BMO Capital Markets Corp. (Member [FINRA](#) and [SIPC](#)) and the agency broker dealer business of Clearpool Execution Services, LLC (Member [FINRA](#) and [SIPC](#)) in the U.S., and the institutional broker dealer businesses of BMO Nesbitt Burns Inc. (Member Canadian Investment Regulatory Organization and Member Canadian Investor Protection Fund) in Canada and Asia, Bank of Montreal Europe p.l.c. (authorised and regulated by the Central Bank of Ireland) in Europe and BMO Capital Markets Limited (authorised and regulated by the Financial Conduct Authority) in the UK and Australia.

"Nesbitt Burns" is a registered trademark of BMO Nesbitt Burns Corporation Limited, used under license. "BMO Capital Markets" is a trademark of Bank of Montreal, used under license. "BMO (M-Bar roundel symbol)" is a registered trademark of Bank of Montreal, used under license.

® Registered trademark of Bank of Montreal in the United States, Canada and elsewhere.

TM Trademark Bank of Montreal

©COPYRIGHT 2026 BMO CAPITAL MARKETS CORP.

A member of **BMO**  **Financial Group**